HSC ECONOMICS · NEWS SUMMARY · STORY 9

STUDENT HANDOUT

Housing slowdown deepens as new home sales slump 17.5%

ABC News (HIA, Cotality, AMP, JP Morgan) and AMP/Livewire, 1–19 October 2026 · Topic 3: Economic Issues · prepared 20 October 2026

−17.5%
new home sales, Sept quarter: lowest in 18 months [1]

−5.2%
fall in national home prices from their peak (Sydney −8.6%) [3]

10–15%
AMP's forecast peak-to-trough fall, bottoming mid-2027 [3]

~$45,000
fall in a typical buyer's borrowing capacity from this year's rate rises [3]

The Housing Industry Association (HIA) reported on 16 October that sales of new homes by large builders fell 17.5% in the September quarter to their lowest level in 18 months [1]. Home prices have now fallen for six months in a row, and AMP expects a total fall of 10–15% [3]. Higher interest rates and the Budget's changes to investor tax concessions are reducing demand, while auctions are at their weakest run since 2011 [1][3].

KEY FACTS

- New home sales were 16.4% lower than a year earlier, although sales rose 3.4% in September alone. The cancellation rate rose to 13.6% [1].
- Falls by state for the quarter: Queensland −26.3%, Victoria −23.3%, NSW −17.4%, SA −7.6%, WA −1.7% [1].
- Cotality data show national home prices fell 1.1% in September, the sixth monthly fall; 97% of capital city suburbs recorded a fall over three months [3].
- Reasons: four RBA rate rises this year; Budget changes to curb negative gearing and tax real capital gains; stretched affordability; and lower confidence [3][4].
- Supports: a housing shortfall of about 200,000–300,000 dwellings and the expanded 5% deposit scheme for first home buyers [3].
- Auction clearance rates have averaged below 50% since June, the weakest run since 2011 (JP Morgan) [1]. Last weekend, auction numbers were almost 50% lower than a year earlier [2].
- The RBA has estimated that a 10% fall in home prices cuts consumer spending by about 0.8% after two quarters and 1.6% in the long run (the wealth effect) [3].
- RBA Assistant Governor Kent said housing credit, turnover and dwelling investment are softening, and the investor tax changes are working in the same direction as monetary policy [4].

SYLLABUS LINKS

Topic 3 Economic growth: dwelling investment as a component of aggregate demand; the wealth effect on consumption.

Topic 3 Distribution of income and wealth: housing as the main source of household wealth; intergenerational inequality.

Topic 4 Monetary policy transmission: the housing and wealth channels.

Topic 4 Microeconomic and structural policy: housing supply, negative gearing and capital gains tax reform.

KEY TERMS

Dwelling investment: spending on building new homes and renovations; part of private investment in GDP.

Negative gearing: deducting losses on an investment property from other income to reduce tax.

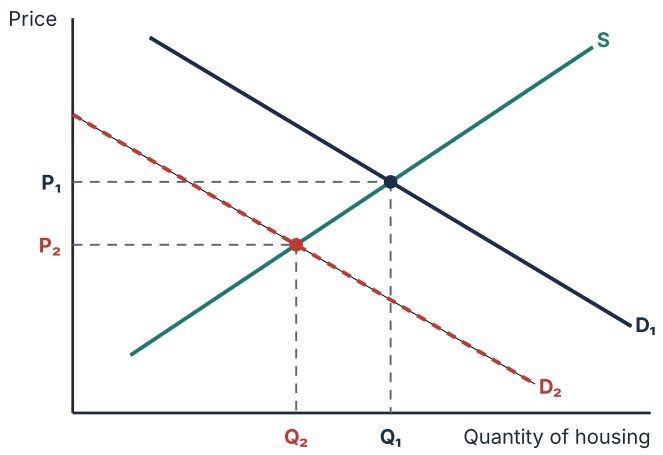
Auction clearance rate: the share of homes taken to auction that sell; a gauge of housing demand.

Wealth effect: people spend less when the value of their assets, such as homes, falls.

Capital gains tax (CGT): tax on the profit made when an asset, such as an investment property, is sold.

Peak-to-trough: the total fall from the highest point to the lowest point in a cycle.

FALLING DEMAND IN THE HOUSING MARKET



- Higher interest rates cut how much buyers can borrow (about $45,000 less).
- Investor tax changes reduce the after-tax return on property.
- Demand shifts left from D_1 to D_2.
- Prices fall (P_1 to P_2) and fewer homes are bought and built (Q_1 to Q_2).
- The shortage of dwellings limits how far prices fall.

Illustrative demand and supply diagram. Housing supply is fairly inelastic in the short run because new dwellings take years to plan and build.

COMPETING PERSPECTIVES

A healthy correction

- Lower prices improve affordability for first home buyers.
- Housing is very expensive relative to incomes; AMP says houses look about 35% overvalued [3].
- The slowdown shows monetary policy is working, helping bring down inflation [4].
- A crash of 20%+ is unlikely without mass unemployment, says AMP [3].

A drag on the economy

- Falling wealth reduces consumer spending [3].
- Fewer new home sales mean less construction while the country still has a housing shortage [1][3].
- Recent buyers with small deposits risk negative equity [3].
- Younger Australians are delaying family plans because of housing costs (AMP survey) [5].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Assess the effectiveness of monetary policy in achieving Australia's economic objectives.

- Housing shows the transmission mechanism working: prices −5.2%, new home sales −17.5% [1][3].
- Use the RBA's wealth-effect estimate (10% price fall → about 1.6% less spending in the long run) [3].
- Limitation: lower construction worsens the housing shortage, so long-run affordability needs supply reform.
- Link to policy mix: investor tax changes reinforce monetary policy [4].

SHORT-ANSWER QUESTIONS 15 marks

1. Outline the 'wealth effect'. **2 marks**

2. Using a demand and supply diagram, explain why home prices have fallen in 2026. **4 marks**

3. Explain how a downturn in housing can affect economic growth. **3 marks**

4. Discuss the impact of the housing market on the distribution of wealth in Australia. **6 marks**

SOURCES

1. ABC News, *ASX closes week higher, new home sales at 'lowest quarterly level in 18 months': live blog*, 16 Oct 2026. https://www.abc.net.au/news/2026-10-16/asx-markets-business-news-live-updates-oct-16/107271360
2. ABC News, *ASX markets and business live blog*, 19 Oct 2026. https://www.abc.net.au/news/2026-10-19/asx-markets-business-live-news/107280976
3. Livewire Markets (Shane Oliver, AMP), *The Australian home price downturn continued in September: we now expect a 10–15% fall*, 1 Oct 2026. https://www.livewiremarkets.com/wires/the-australian-home-price-downturn-continued-in-september-we-now-expect-a-10-15-top-to-bottom-fall
4. Reserve Bank of Australia, *Fireside chat at the Commonwealth Bank's Global Markets Conference (Christopher Kent)*, 19 Oct 2026. https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-19.html
5. ABC News (Michael Janda), *The world is procrastinating about financial reform, but a reckoning is near*, 19 Oct 2026. https://www.abc.net.au/news/2026-10-19/economic-problems-crisis-procrastination-housing-aging-tax/107280264

Note: SMH and AFR coverage could not be retrieved. Forecasts of price falls are bank economists' estimates, not facts, and vary (JP Morgan expects a smaller, single-digit fall) [1].